The $11B Bet That Voice Will Replace Everything | Mati Staniszewski x Nikhil Kamath | WTF Online

(0:07 - 0:15)

How many times have you, this is your, how many times? Fifth. Fifth time. But I never for podcast, always for my FinTech company.

(0:15 - 0:18)

Of course. Yeah. Are you in India? We are.

(0:18 - 0:30)

Yeah. We have, I think it's between 10 and 15, I think it's 14 people now, if we count the new people that are joining or joined. And which city? Mostly Bengaluru and few close to Mumbai.

(0:30 - 0:37)

I'm from Bengaluru. Oh, are you based there or you are? Partly based there. Where is the other part? Mumbai and Goa.

(0:37 - 1:20)

Okay. What do you think the opportunity is? What can one build in voice that can be a big profitable business tomorrow? You're based out of which city now, Matty? From London. Right, from London.

(1:21 - 1:26)

Do you know Carl, the nothing guy? Yeah, yeah, yeah, yeah, of course. Are you an investor of his? Oh, no way. Yeah.

(1:26 - 1:40)

I'm a tiny investor too. Really? Yeah. What do you think? Well, you know, it's so hard to innovate in hardware and Carl is one of the very few that is actually doing both innovating and got to a good scale, which is so hard.

(1:41 - 1:58)

And I think he's thinking around design and how there will be a combination of AI native devices and maybe they all take slightly different forms. I think there's a great chance for nothing. What do you think? So we engaged recently actually, we got on their cap table.

(1:59 - 2:03)

I like Carl. I like Carl a lot. I feel like it's a new guy who's trying something new.

(2:04 - 2:14)

The sales look great. I think they went from 500 mil last year to about 900 mil this year, but it's such a tough space, right? Hardware. So tough.

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But I'm also excited, maybe that's a little bit biased, but he can lead with voice in many ways. You know, the nothing headphones I think are great. Yeah, yeah, yeah.

(2:26 - 2:47)

And they are actually one of the first ones to start integrating AI assisted part of the experience. So you could speak with the headphones, you could personalize. That's not out yet, right? They're testing a few things in alpha, but if they move quickly, I think this could be like the first truly AI native device that's kind of with you, around you.

(2:49 - 3:08)

And I mean, that opens so many opportunities. I'm frequently speaking with Carl of how in the ideal future, you could potentially speak any language and it automatically gets real time translated to any other language around you. So we can communicate and travel around, break down the language barriers.

(3:08 - 3:25)

But the main part that's going to be blocking it, it's going to be the hardware or like what's the device to make this possible, even if the technology exists. And if Carl does well with nothing, nothing could be the device that actually makes and breaks that, where everybody can have the device. I hope it is.

(3:25 - 4:02)

Like after this, I'm actually going to London, I'm going to see Carl, their design studio is there. I'd seen the earbuds, the previous version, but if it's able to translate without a latency issue, and if it's able to, you know that device you wear like a pendant, what is it called? The one that they fold it, there's like a few, but there was the Humane, I think, but there's like re-transcribe or something like that. The one that takes notes and summarizes afterwards.

(4:03 - 4:17)

If the earpod could do all of that, like his earbuds, if they do that, they translate, they do a bunch of other things. The thing nothing also has going for it, I think, is it's cool because the young

person runs the company. So hopefully they do well.

(4:17 - 4:31)

And they are trying some different things. Also, I would like to pin that this is maybe slightly off topic, but frequently, as a company now, we will attend a lot of events. We'll have a lot of people in those events.

(4:32 - 4:50)

And of course, after the events, we are now trying to figure out how to take a lot of the follow-ups, action points. So we created a little voice agent that you can speak with and capture a lot of the feedback. So that already helped shorten the loop so you don't have to manually input everything after the meeting, you can speak with the voice agent.

(4:50 - 5:08)

But the ideal version, assuming people opt in and this is the safe environment, would be to have a pendant. You go to a meeting, everybody knows that their notes will be transcribed, and then you can engage in those events, in the conversations. And then straight after, at the end of the day, you get what happened, what are the follow-ups.

(5:09 - 5:38)

We are working with now one startup that I hope will do it in a good way, where we could deploy it in our next summit, where everybody across the team could, of course with the knowledge of the participants, take the notes, not need to worry about all the notes afterwards. I think how amazing would that be. What is it called, the startup? I don't know if I can say the name yet, because they are in stealth mode and they want to announce it, and we are trying to figure out a partnership.

(5:38 - 5:56)

But there are a few companies. The form factor does matter, you don't want the pendant to be too big. You want it to have pretty good support, of course battery, and it feels like it should exist.

(5:58 - 6:13)

Everyone I speak to in AI, and I've interviewed a bunch of them, largely in the Valley, it's refreshing that you're in a different region. They all say voice could be next. Voice is likely next.

(6:14 - 6:52)

Voice is a natural way to communicate that we are accustomed to, but nobody seems to have cracked it yet. Do you think the medium of interacting with tech will move from hardware, which

does feel unnatural to hold a thing in your hand and like type into it with your fingers. How does that transition from that kind of hardware to voice happen? As we think about the future, 100% voice will be a big interface and big way of how we interact with the technology around us.

(6:52 - 7:35)

That's the thing about 11 Labs mission, it's to transform how we interact with technology around holistically and whether that's calling into customer support, whether that's how you will learn at school and how you'll deliver education, all the way through to how you interact with the robots or devices around you in the future. To your last part, I think the most exciting part of that is, could you have the technology fold into the background, the phone goes back into the pocket, and you immerse yourself in the world around you? I think to make this possible, there's at least three things that need to happen. One is, of course, the foundational technology and research.

(7:36 - 7:59)

It needs to get to the level where you feel like you're interacting with a voice of the level of a human. You can interrupt it, it has the right emotions and intonation, it's quick, it has the high intelligence, and I think the current model is good for a set of use cases. It's not yet a full human level, so that's the first component that needs to change.

(8:00 - 9:16)

That needs to be true, otherwise people will not want to have voice agents everywhere around you. You have Jarvis and Ironman and this kind of level of quality. That's ideally where you get to, where it's both great voice and gets all the knowledge and gets all that combination.

So that's the first thing. Second, and that goes a little bit to the challenges of deploying that in different settings, it's of course important that the voice is good, but it's also important that it has the knowledge access. As we think about the development in the future, as we think about our role in our development, increasingly there's an important combination of allowing customers, allowing users to bring that knowledge in an easy way.

Whether that's the integrations with their systems, whether that's figuring out how you can deploy the voice agent and WhatsApp and different devices that customers or people will interact with. How do you bring all the knowledge ahead? How do you have the memory of things that happened in the past? Whether that's what you are interested in, what you know, if you are a business customer, taking the CRM data and pulling that in so you have all that information. That would be my second one.

(9:25 - 9:57)

Now we have all the components for a voice agent to be there and understand you, how do you deploy it? My take is, frequently the conversation is, is it glasses, is it phone, is it headphones?

It's probably the least interesting one, but I think it will be a combination of the form factors. Some people will definitely prefer glasses, some people will prefer the headphones. In the future, maybe Neuralink is a version of that part where you can start and you always have a voice agent available to you.

(9:58 - 10:23)

I'm excited for the headphones, but not the headphones that are in-ear, but effectively the ones that are behind the ear. Now there's a set of innovations to try to effectively detect, without you actually saying the spoken word, detecting your mouth movements. You could theoretically imagine speaking with a voice agent without vocalizing it out loud and having that support.

(10:24 - 10:43)

If I were a user, from a personal perspective, I would be most likely to adopt the headphones in the future. And then I do think it most likely will be the most natural form factor given it's already one of the key devices. And that kind of shifts that interface.

(10:43 - 11:02)

So you would say headphones with a phone in your pocket, a combination of the two. And probably some, because you also need the capture of the information. I do think there will be some version of a pendant or a wristband that you will carry to just capture more.

(11:02 - 11:21)

Can't the headphones do that? They could, but then you have a limited set of information. You don't have the same, say, over time you will want something about the movement or something about how you capture a different perspective. And I think that will be viable.

(11:21 - 11:36)

Can you measure a guess on what Johnny Ives and Sam are building in terms of device? I heard a few guesses. I would love to ask you the same question. What's your guess? I asked Sam actually.

(11:36 - 12:24)

What did he say? Maybe if you were guessing from what you know, what's your guess? I feel like for revenue and to really scale, because human behavior is so accustomed to using a device in your hand. I think that's where scale lies initially. So I wouldn't be surprised if it's a phone looking device with the UI, which is not natively Android or anything that already exists, but something which is a lot more different with a partner with a buddy device, maybe, which is like a pendant or something like that.

(12:25 - 12:43)

Because they don't have a hardware player. I feel like for AI at some point it will become relevant that hardware comes pre-installed and with the software, which is AI first. And to be in hardware for all of these AI companies will become increasingly relevant.

(12:43 - 13:03)

Hence actually the nothing bet, because I always thought an AI company will come in and buy them out at some point. It's still possible. In general, I think open AI has a good path to building a personal assistant that's next to you.

(13:04 - 13:17)

So there will need to be some device that you carry, of course, every day. I do think voice will be a big part for that strategy as well. From what I see and hear, they will be ramping out the voice efforts.

(13:17 - 13:32)

So that will be a good competition for us to see whether our quality keeps ahead as it does today. It must worry you, right? I always wonder about open AI. All these people use the backbone of open AI and they build something.

(13:33 - 13:58)

And then given enough time, open AI sees it and then they want to build the same thing themselves. They seem to have done that in a couple of places. When I talk to friends of mine in the agentic layer of AI, or people who have built great applications on top of a model, they all seem to be scared of what happens to these large language models when they come after the end product.

(13:59 - 14:28)

Are you worried about that? In our case, we are, of course, continuously looking at open AI, Google, incredible teams, and probably, as we think about the space, the biggest potentials of effectively competing with 11 Labs. As you think about the company, and I only started it in 2022, the approach from the beginning was doing both the research and the product. Doing the foundational model work for audio and then building product around it.

(14:28 - 14:47)

We think both are important and would define the company. Today, of course, we don't depend on open AI for voice. We can stay ahead and build models that are both great in English, great

internationally, great across Indian languages, great across European languages.

(14:49 - 15:01)

That's both for generating speech with text-to-speech, understanding speech with speech-to-text. That's important. I think over the next two, three years, there's still so much you can do in voice.

(15:01 - 15:24)

Like we spoke about how you make it more fluid and interactive, I think that still can be cracked in a better way. Of course, it worries us whether we continue being ahead, but it's also a good motivation. My co-founder is one of the smartest people.

He's been able to assemble an incredible research team. They keep crushing it. I think they will continue proving that we can be ahead.

(15:24 - 15:37)

But then, 100%, we cannot just rely on research. We need to have both defense points, but also how we deliver value effectively to the customers. It's independent of the research work.

(15:39 - 16:00)

From our perspective, we have two main things. One is we have a creative platform offering and then an agent's platform offering. Creative platform is helping with narrations, voiceovers, localization from individuals, from creators, podcasters, news articles, through to some media entertainment companies like Star.

(16:00 - 16:26)

Then on agents, we help automate voice agents and customer experience, training, education. Can you describe to us what 11 Labs does overall in a simplified manner that anybody could understand? We built foundational audio AI technology. We built models to make speech sound incredible and speech be understood.

(16:26 - 16:52)

Then we built products on top of that research that help you create voice agents that can elevate your customer experience, that can elevate and train people internally or externally. Then we help on the creative side with customers and how they can communicate with the user base. So 50% of your business is creator and 50% is enterprise in a way.

(16:54 - 17:21)

Say I'm a creator, how do I use 11 Labs? Let's take this podcast as an example. After we've

finalized our conversation, something might have not been recorded, you want to add a line, you can post-process that with 11 Labs, make sure that we effectively recreate my voice, we smoothen that line out. That's the first simple part.

(17:21 - 17:29)

Then let's take a second step. You want to take this podcast and you want to localize it outside of English. You want to bring it to Spanish or French or Hindi.

(17:31 - 17:58)

Here you go to our interface and you can both automatically dub the entire podcast and then go for any corrections that you need. When we did a podcast between Lex Friedman and Prime Minister Narendra Modi, that was effectively going through that workflow. That was going through the human envelope, making sure the corrections are there and that was a very long conversation, incredible test of the software.

(17:58 - 18:34)

But then you can enjoy that in a number of other languages. This one was harder. But with any conversation like the one with the Prime Minister, we did employ a wider set of people that would actually check every translation, mostly working with the Lex team and the other side of the team to make sure that the content is preserved.

(18:35 - 18:51)

It's like the caliber of the conversation where every word matters. So that was maybe more unique on that side. But we've been struggling with solutions really.

(18:52 - 19:30)

More than the cost of it, I feel like the emotion behind what is being said is always lost and everything sounds a bit robotic. How do you change that? I think that's one of the big parts that we now can bring to the equation that was lost. How do you both preserve the voice, preserve intonation, preserve emotion? The way we do it today is we of course detect your speech, we then detect your speakers, we translate it.

(19:30 - 19:59)

But then the moment we generate a speech, it actually captures the contextual information from the previous response and tries to recreate that in the new target language. Effectively our model, the way we've created that for the localization use case, has been trying to match pairs of languages that we have and how would you deliver that in a professional setting and how you can reapply that in the automatic DAB. So I think it works really well.

(20:00 - 20:30)

The hard thing is of course when you have amplitude of emotions, like laughter, scream, and you then shift the ordering of the sentence, then it's hard. Say for example, Matty is smiling while you're saying a certain thing. When you smile when you say a certain thing in English, isn't it hard to take that emotion into Hindi for example? It's not easy, 100%.

(20:30 - 20:51)

And then there's the present and the future. In the current way, you would still translate it, you would of course DAB it. I think you can preserve the emotion, but of course my movement of my lips when I smile, depending on the language structure, it might be in a different part of the sentence.

(20:51 - 21:10)

Maybe an easy example is German. Yes, that will exactly happen, you will smile in a different part than the conversation. You can do some tricks to try to still smoothen it out, but yes, there will be some discrepancy.

(21:10 - 21:40)

In the future, and there are some limitations of the current delivery softwares, you'll likely do lip animation to move the lips a tiny bit to apply to where you would smile in that part of the sentence. I think that will happen 100%, I hope this happens this year. As you think about anything that can amplify the audio experience, we want to bring that into our flow.

(21:40 - 22:06)

So on that creative side, today if you were to localize, hopefully in the next few months you will be able to animate lips straight away as well. There's actually a good set of companies that are crashing it and going very quickly. Of course, I think this is an entry point, not the end point.

(22:07 - 22:25)

They will likely try to add more of that functionality, but 100%. Now we speak about the static part, but the moment you start moving into the real-time part, those tiny companies now can be huge companies. We spoke about the creative side.

(22:26 - 22:42)

If you think about the agent side, and I think there are some use cases here for both the lip animation and even for you. I have one idea for you. We spoke about the creative side.

(22:43 - 23:19)

On the agent side, effectively what we do is allow you to create a voice experience, bring any knowledge that you want inside of that experience, and then deploy that in different settings while monitoring, evaluating how it performs. I don't know if you're familiar with Masterclass. Masterclass works with us where they would recreate and work with people like Gordon Ramsey to create AI.

Gordon Ramsey teaches you how to cook while you cook. The top FBI negotiator, Chris Voss, is part of the ecosystem. You can negotiate and learn negotiating by negotiating with Chris Voss.

(23:19 - 23:58)

You could do your Masterclass based on a lot of your existing content, existing work that you already did and spoke about, and actually create an inhale that you can speak with and learn about bootstrapping a $3 billion company and how to achieve that kind of impact and scale. How would somebody find him? We work with all types of customers, but if you are an individual you probably would start your own company. We actually have 500 companies that build voice agent variations just in India.

(23:58 - 24:33)

And now I think over 10,000 across the world. The most common now that's shifting is you have a phone number that you call and then the voice agent answers. Do you think there's a market for that? If there's an agentic version of myself which has learned from everything I have ever said, all the stupid things, and it speaks like me, do you think somebody will seek it out to interact with it? I think the quick answer is yes.

(24:34 - 24:49)

I don't think it replaces the experience. But how do you go deeply into the subject that interests you? And that's what your agent would allow. I have a few questions, this is what I know, this is what I don't know.

(24:49 - 25:03)

You have that wider set of knowledge that you've delivered over the years. How do you deliver that efficiently? You can grab to the specific parts that I'm interested in. And I think that would be valuable.

(25:03 - 25:31)

But then of course at some point there's like okay, now I actually want to speak with the real person to go deeper because that wasn't a knowledge base or it wasn't something that I could ask about. I think it shifts the part of the conversation but not the entirety of the conversation. I don't know if it's exactly the same, but on the business side many startups mention this use case.

(25:31 - 25:55)

I don't think it's fully AI automatable, but AI SDR version of learning about the product, learning about the use case, learning about the company. And we've seen this play out in a few cases where here too, the best way to deploy AI SDRs is more as an augmentation of the flow. Let's say you have a website, you want to capture the sales leads.

(25:57 - 26:20)

The sales leads come through, they usually will leave their details in the form. And now instead of replacing the whole experience, you can add effectively a voice agent saying, hey, do you want to accelerate your application by speaking with a voice agent? And then you can go ahead and click through. And then you are more willing.

(26:23 - 26:42)

We've done exactly that flow for 11 labs. It improves the number of people that are keen to leave things in a form, but second, they actually leave a lot more details. And with those customers it's much quicker.

(26:44 - 27:00)

I do think this would both make people more excited about learning and going deeper. But then the second time you have the conversation, I think the quality of questions will be better. We actually did it with a company in India called TVS Motor.

(27:01 - 27:23)

And they've done exactly that flow and it improved both sides. We were doing a bit of research on the market size of voice overall. The dubbing is a small market, right? It's less than a billion going up to three billion in the next decade.

(27:28 - 27:40)

The interactive use case is the biggest market. That could be a really big market in the next five years. I think that will shift everything.

(27:40 - 28:10)

A lot of the audience that we speak to are young, wannabe entrepreneurs. What do you think the opportunity is? What can one build in voice that can be a big, profitable business tomorrow? From my perspective, the most clear entry point is combining a domain expertise in one of the domains that you know well or you want to know well and learn quickly. And it can be a domain where there's no innovation.

(28:11 - 28:27)

Can you give me an example? Automotive industry, healthcare. The more traditional domain, the likely more lagging it is with the innovation. We are seeing already entrepreneurs building for automotive industry of use cases.

(28:28 - 29:09)

But effectively here, from the simple use case of how you innovate on customer experience, what does the in-car experience look like in the future? So much opportunity to figure out how do you deliver the right knowledge, how do you write the right interaction and how do you deploy it. Let's take the example of a car company, say BMW. What do I build that they will pay me enough for that I can have a company in voice? You would start probably with something that's top of mind and something that is easy to deploy.

(29:09 - 29:27)

So here, you would start with customer experience side. So just being able to help as people call in, how do they get the best service, understanding everything about BMW in this case, how they understand about how the car works. You spend a lot of time bringing that into the equation.

(29:30 - 29:57)

Then in-car experience is pretty open-ended. But how do you create an interactive radio inside of the car that people can interact with? And here too, you need to figure out what type of languages BMW might be interested in. How do you create the right voices to make sure the users in those regions are excited and happy? What type of experience will BMW actually need? So there's a lot of deployment work that would come in.

(29:57 - 30:25)

And then as you build all those steps, you need to figure out, if you are to build a big company, not only how I build it once for BMW, but how I abstract it away to be able to replicate that into the other car companies. So you need to capture some of those knowledge elements back into other car parts. Automotive industry is a good example where I haven't seen as much yet because it's harder with some of the on-device requirements.

(30:25 - 30:39)

Some that already are getting disrupted are e-commerce, healthcare, financial services. Healthcare is an easy example where you just need so much specific domain knowledge to be able to capture that. The data is very different.

(30:42 - 31:11)

Capturing all the medicine names, all the flows that might need to happen for the patients that you interact with to make sure that they get the right experience, that's hard. And then you need to go to the hospitals, speak with the hospitals on how to deploy that, whether it's in the operating space or whether it's in the support space outside of the hospital operation. So that's the one that's already pretty heavily going across.

(31:13 - 31:33)

E-commerce, I mean, recently you had the IPO of Michaud that you work with. What do you do for Michaud? We help automate their customer experience, customer support. They have now 60,000 calls coming in to ask about the products, ask about shipping, refund, and they're in English.

(31:34 - 32:01)

We create a voice agent that you can interact with. But a very cool thing with Michaud is that now, what's the future of e-commerce? Could you have an AI concierge the moment you go into the website that you open a website, you have a voice agent that tells you about the products available, you tell them what you're looking for, then shows you different products, you decide which ones you are interested in, and then you order that. Having an assistant as part of experience would be incredible.

(32:02 - 32:22)

I think companies combining the domain knowledge and building quickly the voice agents will be huge. Actually, you should help us build an agent of our own. Could be fun, as a project.

(32:24 - 32:39)

We'll feed in all the things we have set up until now, and have somebody talk to people who are lonely and just see how the project goes. Just as a fun project. I speak to AI agents all the time.

(32:39 - 32:49)

I think a big use case in the world tomorrow will be to solve for loneliness. For intimacy. I agree.

(32:50 - 33:07)

I think there will be a big part there. It's going to be a big balance of figuring out how you help with the virtual side, but try to bring people into the real world too, which will be an important balance. The most exciting one for me is education.

(33:09 - 33:28)

Could you have a personal tutor across subjects for everyone? I love Richard Feynman. Could I

have Richard Feynman teach me physics? Both the style of delivery is so cool. He's combining the knowledge and the laughter.

(33:29 - 34:11)

I'm learning maths and I can ask any question to Richard. What's even more interesting is if I have a device in my ear, which negates the need for me to have to regurgitate any kind of information, what happens to education, then I don't need to learn or remember much of what traditional education needs for me to remember. I don't know how you would see this, but the way I think back at my education, I rarely used any of the formal backgrounds in mathematics.

(34:12 - 34:31)

I almost never used that knowledge, but the most valuable part was learning how to learn. I hope there's still that component that education brings. The second part of education is going to be almost the opposite of tech, which is how do you learn how to be with other people, how you be social.

(34:32 - 35:01)

I feel in the future of education we'll have a percentage of the time which is fully dedicated to learning with AI and tools, and then a percentage of the time where there's no tech and no technology, just speaking with other people, being close to them, figuring out that part. The percentage of both will be interesting. Versus a fully augmented version throughout.

(35:02 - 35:34)

As somebody not in the valley, my day job is an investor. You've raised a lot of money yourself, I think like 300-400 million dollars, your company's worth a few billions today. What do you think of AI valuations in the valley today? These huge companies with a revenue number that doesn't historically warrant the market cap numbers that they have.

(35:36 - 36:03)

Do you feel like there's a bubble brewing there? Did you say you invest in the companies not in Silicon Valley or did you invest in companies in Silicon Valley? Some in Silicon Valley, but largely companies out of India. First of all, I think that's great. It's so cool to see more companies in India.

(36:04 - 36:25)

We care so much about companies brewing. As we think about our team today, most of the research engineering is from Europe. Hopefully a lot more of that innovation comes across from Asia, from Europe, internationally for the global companies.

(36:32 - 36:49)

I don't think that the bubble is brewing. What I think is a very different part as I compare it to other cycles, I think there's a clear value, clear revenue numbers for a lot of the companies. There are some pockets where I'm a little bit skeptic.

(36:51 - 37:28)

To give a concrete example, it's all the GPU providers that are built on top of NVIDIA that help you get effectively inference capacity. I'm a little bit skeptic on some evaluations there. For a lot of others, it's very clear.

It's high risk, high reward type thing. I understand the bets, but they are probably higher risk than higher reward. I do think AI is in this trickier space where if you win, you can win in a significant way, in a significant impactful way.

(37:28 - 37:42)

You will work with a lot of customers around the world if you are a good company. In the early stages of the companies, companies get such a high valuation. I'm sure you were referring also to a lot of the research companies being formed.

(37:43 - 38:02)

The way I see it is research is still so incredibly important and will be. That multiple still makes sense. Those people, if they invent one incredible thing, it's already worth it.

(38:04 - 38:40)

But I hope companies around the world will get the same valuations soon. If they build globally, they should. The way I'm looking at it with all the geopolitical stuff going on, if I were to wager a guess, I would think at some point in the future, we will all live in a more multipolar world where we individually countries go down the path of Russia and China, where most large countries have their versions, their own little version of these products which have global reach today.

(38:41 - 39:15)

So different countries will have their own social media, they'll have their own voice companies, they'll have their own most interactions with technology, even their own data centers, the country's data I think will sit in that country. So I feel like when that happens in the world, these companies which have large scale today, like take WhatsApp, which is a chatting service. I don't think it is unique enough of a product that can't be disrupted, or I will make the switch from a WhatsApp to another chatting service given a very small incentive.

(39:16 - 40:05)

I think the reasons for Indians to use WhatsApp might go away when the world becomes more geopolitically confused, and I feel like it's going in that direction. Don't you think, let's take WhatsApp, there's a network effect of just so many users already using WhatsApp where it's just convenience of being on the same platform? I would have thought that, but when I look at what's happening in China and Russia, and they have their own versions, it seems to be just fine. And also in a way when there is evidence of these global tools being weaponized by governments in one way or another, I think the world will be a lot more skeptical in using a product just for the network benefit.

(40:06 - 40:34)

You know what I mean? I don't know what you mean, although I do disagree. I agree, data, residency, yes, 100% should be in specific countries. I also agree that the product shape will evolve, so every country will use their own propriety data to create variations of the product.

(40:34 - 40:59)

I don't know if that's an optimist or the value part, but I do think there's a global component of a lot of infrastructure or software still being international. Let's take building foundational AI models. I think the base will be pre-trained by a few companies in the world, just given the resources required.

(40:59 - 41:17)

They'll be open-source offerings in that bucket. But then probably, as I think about the government space or companies in other sectors, they will use those to fine-tune it based on their data. It's still huge advantages, but just not entirely built independently.

(41:19 - 41:46)

I can see how creating software is becoming so easy that you could imagine creating that on the fly everywhere. I just think the network effect of having people in the same place is compounding in many ways. Almost as I think about, it's not the same, but in our case we have a voice marketplace in 11 Labs where people create a voice.

(41:47 - 42:12)

We authenticate it, then we can share it, and then the moment the AI voice is used, you earn money. Now we have 10,000 voices created this way, and we paid back over $11 million, coincidentally, back to that community. Of course you could replicate at scale, but you won't have that same community mechanism of paying back and making sure people can trust that software.

(42:13 - 42:43)

So I do think there's some amount of trust that is embedded. So maybe network and trust, but I guess what you are saying partly is, with the geopolitics side, the trust element may be broken and you need the alternative. It seems to be breaking, right? I hope it's a temporary glitch, but it's not getting down, it's more like sine X times X. It's just a little bit of a correction.

(42:44 - 43:11)

I watched a bunch of these people speak over the last week, and even when they walk out of the room, it could be the European leadership or the American leadership, people don't look happy. People look like they're angrier than they were last year, for example, or the year before. Every year people are progressively angrier, and it seems like they're voicing it for the first time.

(43:11 - 43:22)

People walk out and speak in their own languages. Most of it you can't understand, but you can see the expression on their face in a way. I do think people became more authentic in the last year or two.

(43:22 - 44:06)

Maybe it's a version of there's just so much AI content and things that you need to be authentic to break through that noise of AI. I feel less on the politics side or geopolitics side, because I agree that has definitely influenced the emotions, and I'm probably a little bit too much in that bubble of AI and tech, but huge positivity compared to last year or two, shift from how much of the risk AI can mean, but increasingly into also how much opportunity AI can give. But of course it's such a tricky week with geopolitics this week.

(44:06 - 44:26)

I think no one's contesting that productivity will go up in societies. I think everybody's aligned to that. The only question is, people with most risk capital will have the best models by virtue of how much money they pump into those models.

(44:27 - 45:09)

But if these large model companies are going to cannibalize the end product if you build on top of them, I think for a young entrepreneur it's important not to be short-sighted and diversify and hedge what they build on top of. It's not the right analogy, but not end up in a world where an Android or an Apple can charge you 20% fee to live on that platform, but use more open-sourced versions and diversify. I agree that you need to take a longer-term view.

(45:11 - 45:35)

The starting point cannot prevent you from being in that long-term. If you can accelerate your

value delivery by building on any of the platforms, it's fine. But if you think that any of those platforms might take over your space in the next few years, then you need to be conscious.

(45:35 - 45:48)

Because these platforms have to make money somewhere tomorrow. To justify those valuations and to stop burning money, they have to make money. They do.

(45:52 - 46:08)

Google will have so much advantage by potentially running longer with all the infrastructure and not doing ads in the same way. So it will be an interesting one. I see companies built on top of LLMs, voice, visual.

(46:09 - 46:30)

I think that the domain combination, if you know domain extremely well, then the AI model gives you a good starting point. But then integrations with the system, the legacy systems of how you deliver that, telephony, how you bring the knowledge, that will take so much time. Then building the trust of valuations, monitoring, that will take a lot of time.

(46:31 - 46:51)

So I think there's so much opportunity for entrepreneurs to just take any of those models, go deeply into the domain and combine both, best of both. We've been flirting with the idea of building a social media platform in India. How do you think? Zaroda is more like fintech, asset management, broking.

(46:54 - 47:11)

You know super apps have never worked in India. A lot of people have tried it. Actually outside of China they've not worked anywhere, right? Do you think that has something to do with? I have an example where it did work, which is an interesting one.

(47:14 - 47:39)

In Ukraine they have a super app, which I think is brilliant. Also we have a pleasure of working with their government, where they are trying to create the first agent in the government. It's effectively a citizen support app, where you can ask about the benefits programs, employment programs, the different things that are happening in India.

(47:40 - 47:57)

That's how it started. Of course the passport information, visa information, etc. But then they have multiple ministries and the way they operate.

(47:58 - 48:25)

They have multiple ministries where you have tech resources embedded in those ministries. So foreign affairs will have a few engineers working there. And now those people try to figure out how to automate part of the government work and then bring it back to the digital transformation ministry, which is responsible for the citizen support app.

(48:25 - 48:40)

Now what has started happening is that it started effectively adding modules across the entire government, so now you can have healthcare information. Now you can have education, where you have personalized content for you based on things that you know. I thought it was brilliant.

(48:40 - 48:59)

What we do with them is help bring the voice into the equation so you can communicate and call a lot of that, or you can learn by speaking. I thought it was brilliant for two reasons. One is that you embed those resources in an AI world that feels so right.

(48:59 - 49:23)

As I think about young entrepreneurs building their companies, you want engineering talent, but you want the engineering talent in sales and go-to-market and in finance and in all divisions because it can help get smarter. So I liked it for that. And two, despite everything that's happening there, they are actually truly, from everybody who works there, leading the way with one of the best apps that I've seen.

(49:24 - 49:41)

In places like India, there's the David and Goliath problem. When you're David, everybody loves you. When you're starting something, when you become a Goliath of a company, inherently people dislike large corporations in a strange way.

(49:42 - 49:59)

It goes everywhere a little bit. And hence I don't think a super app works in places like that. Why did you want to start a social media? I believe social media is broken today.

(49:59 - 50:23)

We were looking at data from a bunch of people that the really young people, 16 to 20, take Snapchat for example. They might be logging into Snapchat the same number of times, but the amount of time they're spending on it is significantly lower. If you take Instagram, it's become almost no organic content.

(50:31 - 51:18)

It seems to be a place where brands are showcasing different things and influencers are trying to sell one thing or the other, either consciously or subconsciously. To have an app which is not governed by an algorithm which kind of insinuates and incentivizes a reaction in you by triggering hate or emotion that I don't think is conducive in the long term, I think is useful. Also I don't like the fact that a foreign nation controls the algorithm that defines the mood, nature and evolution of the youth of my country.

(51:19 - 52:06)

And in the incentive side, do you have a take of how you change the incentives to get people to pause the organic side? I think we're thinking of a very tight funnel on the top where we control who enters the app. Incumbent social media probably has bots engaging with you and trolls engaging with you and I don't know how much of it is organic and how much of it is not. But the idea is to have a place where real people can connect with real people, speak about real things without, I don't think anybody can take out bias altogether, but with significantly lower bias and a place which is safe to have discourse.

(52:06 - 52:19)

I might agree with you on something, I might disagree with you on something but I don't think there is a place or ecosystem today where you can have that conversation. So we hope to kind of create it. But I'd love advice from you.

(52:21 - 52:54)

Broad thoughts on what should a new social media have, also how voice plays a part in whatever the newer version of social media is. First of all, I think the aspiration or the idea, I hope even the current social media platforms will get there too. I think there's a clear aspiration for them to have a little bit more of the positive sentiment rather than the fear driving the algorithm.

(52:54 - 53:09)

I don't know how this will get figured out yet, but there's definitely this element of authenticity being now the way to go. Nobody wants to read a corporate manicured press release statement. I think that's great.

(53:10 - 53:33)

If I were designing social media, how do I get more of that part would be one of the key elements. I'm thinking through both the voice aspect and do you know AirChat by the way? I have seen AirChat, yes. They're trying to build a social media based on voice and podcasts.

(53:36 - 53:49)

We do have that mode that we already have. I think our podcast is very entrepreneur heavy. We try and tell people how to start a company and then we try and help them on the path of starting a company.

(53:49 - 54:11)

We have a grant, we give them some money, we try and build a network for them to go out and build. It can be pivoted around a podcast not just of mine, but of a bunch of people who have the same outcome in mind. Maybe I'm starting the opposite way on the voice side first.

(54:11 - 54:31)

I could imagine the whole interface being very different. The same way you would imagine Alexa or Siri delivering you the knowledge or some version of Jarvis where you wake up, you want to learn what happens on the social media and it summarizes things that are interesting to you. You can ask questions, go deeper.

(54:31 - 54:57)

For me that would be part one where social media comes with embedded assistant that keeps you up to date on what's happening and you can engage with that where I could leave a comment here or engage with this part or respond to this person. You could imagine both responses being text or voice directly. That would be a shift into the static timeline view into more of interactive companion view.

(54:58 - 55:18)

That would be one component of this. Two, I'm hesitating because I'm thinking how would I incentivize the people and that's the tricky part. I do think if you record a video message from you that's great, second to that you record audio message, image, then text.

(55:19 - 55:47)

So if you could have a voice as part of that it would be great. Simple version of that on social media could be you write a post or you write an essay and I can listen to that in your voice and enjoy it, but that kind of part of how can I leave the messages and comment across would be another big one. Three, which is both on language level but on the voice level, making it straight international, translated and enjoyed across languages would be another one.

(55:49 - 56:11)

But look, I think it's a very tricky one in terms of the incentive side. You're probably more familiar

given your work of tokenized based or monetary incentive based approaches. I can see this working but I'm not a big fan.

(56:11 - 56:22)

I don't like this transactional approach, it should not be that. Ideally you engage because you're interested rather than because you think it can give you the monetary reward. It should be a secondary versus primary effect.

(56:27 - 56:40)

I think the verification side, I would keep the verification side. I think it's valuable for people to know that the other side is a real person. And then over time there will be a question of how you verify for a human part.

(56:40 - 56:54)

I think that's going to be another big topic. If I was creating social media I would bring that as a big part of the equation. I'm still thinking about the incentive part.

(56:54 - 57:31)

How would I incentivize the positivity versus the negativity? In some places calibrated this way where negativity gets more attention and how do you shift that? It doesn't even have to be positivity, it could be neutrality. If you're going to trigger an emotion, the emotion could be greed, the emotion could be to pontificate, by being here you sound smarter. This is a bunch of people who are trying to feed curiosity.

(57:33 - 57:57)

There's a bunch of other emotions that you can play with which are more on the right if the curve is left being negativity and right being positivity. You're more towards the right. The key thing is you want to avoid the algorithm just rewarding what gives the highest knee-jerk reaction.

(57:59 - 58:15)

If you could have a platform that inspires curiosity and learning or different points of view in a way that doesn't lead to two sides screaming at each other. Incredible. Let's do it.

(58:19 - 58:32)

There's no product in the space on the consumer side that has AI enabled in the right way. There's no AI social product today. Maybe we'll catch up in London or we'll do a con call.

(58:32 - 58:43)

I'll add my team and we can ideate there some ideas as well. Or in India. Thank you so much Matty for doing this.

(58:43 - 58:52)

I think we're out of time. It's amazing to see how you support the ecosystem. Hopefully we can do that too.

(59:03 - 59:21)

How long were you there for? For a week. Do you have time to travel? I'll take you to Goa for a day or two if you have time. Do you have offices in Goa? No I have a house in Goa which is a lot of fun and I have dogs in Goa.

(59:23 - 59:31)

It's like a beach town which is very relaxing. Amazing. If you're in London let me know.

(59:31 - 59:35)

I'll take you to a cool place.